

Daraz Sri Lanka — Complete Viva Q&A Pack (v2)

IT3120 — Modern Enterprise Management · Workshop 1 · Case Study — Daraz

Source note — Frameworks (POLC, 4Ps, SWOT, Power, Maslow, Herzberg, Structures, Approaches) come from IT3120 Lecture 01. Daraz-specific company facts are extra explanation and must be verified by your group. If the panel asks for a figure you have not verified, say “we could not verify that publicly” — never invent numbers.

What is new in v2 — Sections 8–12 cover Power, Motivation, Organizational Structures, Management Approaches, and Organizational Behavior — all from Lecture 01 and absent from v1. These are the highest-risk gaps.

Priority key — read this first

Tag	Meaning	How to use it
HIGH	Very likely asked / high mark impact	Memorize the full answer
MED	Medium probability	Know key points + 2–3 supporting facts
LOW	Easy / low risk	A one-line answer is enough
CORE	Foundation	You must know this or nothing else makes sense
TRAP	Common mistake	The panel is testing whether you fall for it
TIP	Answer technique	How to structure or deliver the answer
RUBRIC	Links to a rubric criterion	Saying this earns marks under a named criterion
LEC	Lecture 01 page reference	Where to find it in the lecture PDF

Rubric this pack is built against

Criterion	Weight	Covered by
Management Analysis	20%	Sections 1, 8, 9, 10, 11, 12
Marketing Analysis	20%	Section 2
Integration of Concepts	15%	Section 5
Critical Thinking & Justification	15%	Section 4
Content and Slides	10%	Section 6
Presentation Skills & Team Participation	not confirmed	Section 7

TRAP — Visible criteria total 80%. The final percentage was not confirmed — verify on Courseweb.

Universal answer formula

Every answer, 30–45 seconds, in this order:

- ❑ **POINT** → Direct answer in one sentence
- ❑ **REASON** → Why — name a theory term in English
- ❑ **EXAMPLE** → A concrete Daraz example
- ❑ **TRADE-OFF** → The limitation or risk

TRAP — Never answer only "yes" or "no" and stop. Always add "because..." — a bare answer kills the Critical Thinking & Justification mark.

Section 1 Management Analysis (20%)

CORE Q1. What is Daraz's business model?

Daraz is an online marketplace platform, not a retailer or manufacturer. Independent third-party sellers list and own the products, while Daraz provides the platform, payment processing, logistics, and buyer protection. Revenue comes from commissions, advertising, seller services, and logistics fees. Founded

2012, acquired by Alibaba Group in 2018, operating in Sri Lanka, Pakistan, Bangladesh, Nepal, and Myanmar.

TRAP — Daraz does not hold its own stock like Amazon. Get this wrong and every management answer collapses.

CORE Q2. What is an organization? LEC P.02–03

A formally structured group of people and resources, coordinated to achieve common objectives.

4 keywords: people · structure · coordination · common objectives

Daraz: employees + sellers + riders + technology, coordinated to sell online.

TRAP — A building or a crowd of people is not an organization. Structure and a shared goal are required.

CORE Q3. Define management — two scholars. LEC P.04

Scholar	Definition	Type
Henri Fayol	Planning, organizing, leading, controlling resources to achieve goals	Process-based
Mary Parker Follett	"Getting things done through people"	People-based

Exam sentence: "Fayol describes the functions; Follett describes the method."

TRAP — A manager is a coordinator, not the person who does every task.

HIGH Q4. Apply the POLC framework to Daraz. LEC P.06–09

Function	Meaning	Daraz application
Planning	Set goals and how to reach them	Market expansion, category growth, 11.11 / 12.12 / Daraz Birthday campaigns
Organizing	Arrange resources and roles	Commercial, Marketing, Operations/Logistics (DEX), Technology, Finance, Seller Support; hub-and-spoke network
Leading	Influence and motivate	Alibaba-influenced practices, multicultural teams, motivating sellers through ratings and incentives
Controlling	Measure results and correct	Seller performance metrics, delivery SLA, return/refund policy, review system

Cycle: Plan → Organize → Lead → Control → feedback → Plan again

RUBRIC — Naming the four functions explicitly earns Integration of Concepts marks.

TRAP — POLC is not a rigid sequence. It is a feedback loop.

MED

Q5. Differentiate strategic, tactical, and operational planning.

LEC P.07

Type	Scope	Daraz
Strategic	Long-term, organization-wide	Entering new countries, category expansion
Tactical	Translates strategy into action	Planning the 11.11 campaign
Operational	Daily execution	Daily order-fulfilment targets

HIGH

Q6. Which POLC function is most critical for Daraz, and why?

Controlling. Planning, organizing, and leading are supported by Alibaba's strategy and established structures. But because product quality and delivery are executed by external sellers and partners, control failures directly damage customer trust — the platform's most valuable asset. *[Likely]* Organizing is a defensible alternative, given the complexity of coordinating logistics, sellers, and technology across five countries.

TRAP — Do not answer "all of them are important." The panel is testing whether you can choose and justify.

HIGH

Q7. Why is the controlling function difficult in Daraz's model?

Because Daraz does not own the inventory. Sellers own the products, so Daraz cannot directly control quality, authenticity, or packaging. It must use indirect control mechanisms — seller ratings, ship-on-time rates, cancellation rates, penalties, and buyer protection. This creates a control gap that produces counterfeit and quality complaints, leading to trust erosion.

Trade-off: Stricter control reduces seller numbers and product assortment, weakening the core value proposition.

Daraz does NOT own inventory
 ↓
 Sellers own the products
 ↓
 No DIRECT control over quality
 ↓
 INDIRECT control only (ratings, penalties, buyer protection)
 ↓
 Control gap → counterfeits → TRUST erosion

MED Q8. Name Daraz's control mechanisms.

Seller rating · ship-on-time rate · order cancellation rate · return rate · delivery SLA compliance · customer complaint volume · review scores · penalties and delisting · buyer protection.

TRAP — Commission is NOT a control mechanism. Commission is a revenue model. Control mechanisms measure and correct behavior; revenue models generate income.

HIGH Q9. Compare the marketplace model with the inventory-based model.

Aspect	Marketplace (Daraz)	Inventory-based
Inventory ownership	Sellers	Company
Revenue source	Commission + services	Product margin
Capital requirement	Low	High
Quality control	Indirect	Direct
Scalability	Very high	Limited
Main risk	Reputation risk	Unsold-stock risk
Management focus	Seller governance	Procurement & warehousing

MED

Q10. What are the levels of management at Daraz?

LEC P.10–13

Level	Main concern	Daraz example
Top	Long-term direction, external environment, investment	Country CEO — market entry
Middle	Translate strategy into departmental objectives	Category manager, regional logistics manager
First-line	Daily operations, direct employee contact	Warehouse supervisor, delivery hub lead
Team leader	Assignments, training, timelines	Rider team leader

TRAP — Do not reverse these. Top = strategy. First-line = daily operations.

MED

Q11. What does a middle manager actually do at Daraz?

A middle manager is a translator. They convert top management's strategic goals into departmental plans, allocate resources, supervise first-line managers, and report performance upward.

Daraz: A category manager converts "grow electronics GMV by 30%" into seller-recruitment targets, a promotional calendar, and pricing campaigns.

MED

Q12. Differentiate effectiveness and efficiency.

LEC P.15

	Meaning	Daraz
Effectiveness	Achieving the intended goal — doing the right things	The order was delivered
Efficiency	Minimum resources, least waste — doing things right	Delivered at the lowest cost per parcel

Scenario	Effective?	Efficient?
Delivered, low cost	Yes	Yes
Delivered, but took 3 trips	Yes	No
Low cost, but not delivered	No	Yes
Neither delivered nor cheap	No	No

TRAP — These are frequently confused. Panels test this deliberately.

HIGH Q13. What are the challenges of managing operations across five countries?

Cultural and language differences, uneven digital and payment infrastructure, differing regulatory and import regimes, currency and forex volatility, and inconsistent logistics maturity. Daraz addresses these with a decentralized country structure and centralized technology from Alibaba.

Core trade-off: standardization (efficiency) vs. localization (market fit).

MED Q14. What impact did the Alibaba acquisition have?

It provided capital, proven e-commerce technology, logistics expertise, and management practices, and introduced campaign models such as 11.11 plus seller-training programmes. *[Possible]* The risk is over-dependence on a parent-company playbook designed for the Chinese market, which may not fit South Asian realities such as low card penetration and rural logistics gaps.

MED Q15. Explain cross-functional coordination at Daraz.

A single mega-campaign requires Marketing (promotion), Commercial (seller deals), Technology (platform load capacity), Operations (warehouse and fleet), and Finance (voucher budget) working simultaneously. Failure in any one function ruins the campaign — this is why cross-functional coordination is a core management capability for a platform.

MED Q16. Apply Mintzberg's managerial roles to a Daraz category manager.

Interpersonal — Leader of the category team; liaison with sellers and brands

Informational — Monitors sales and competitor pricing; disseminates targets; spokesperson to sellers

Decisional — Entrepreneur (new categories), disturbance handler (stock-outs during campaigns), resource allocator (voucher budgets), negotiator (commission terms)

MED Q17. How does Daraz manage its logistics network?

Through Daraz Express (DEX), a hub-and-spoke network of sorting centres and last-mile hubs, supplemented by third-party logistics partners and customer pickup points. Focus areas: route optimization, delivery time, failed-delivery reduction.

MED Q18. How does Daraz manage its seller ecosystem?

Onboarding and training programmes, performance-based ranking and visibility, promotional incentives, badges and seller tiers, and penalty systems. This is motivation and control applied to external parties rather than employees — the defining management challenge of a platform business.

MED Q19. What operational risks does Daraz face?

Delivery delays outside main cities, warehouse capacity strain during mega-campaigns, platform downtime under peak load, counterfeit products, high COD return rates, and dependence on third-party logistics partners.

LOW Q20. Name the main departments of Daraz.

Commercial/Category, Marketing, Operations & Logistics (DEX), Technology/Engineering, Finance, Seller Support, Customer Service.

LOW Q21. Who are Daraz's key stakeholders?

Customers, third-party sellers, employees, delivery partners and riders, Alibaba Group, payment providers and banks, regulators and customs authorities, advertisers.

Section 2 Marketing Analysis (20%)

HIGH Q22. Apply the Marketing Mix (4Ps) to Daraz.

P	Daraz
Product	The platform itself — app and website. Wide assortment across electronics, fashion, groceries, home. Services: Daraz Mall (authentic brands), wallet/payments, buyer protection
Price	Value / cost-leadership positioning — low prices, vouchers, flash sales, free-delivery thresholds, cash on delivery. Sellers compete on price within the platform
Place	Mobile app (primary channel), website, island-wide delivery, pickup/collection points, DEX last-mile fleet, 3PL partners
Promotion	11.11 and 12.12 mega sales, in-app gamification, push notifications, influencer and social media marketing, digital and TV advertising, seller-funded vouchers

HIGH Q23. What is Daraz's positioning strategy?

A value-based, cost-leadership positioning — widest selection at the lowest price with convenient delivery. It is an accessible mass-market platform, not a premium brand. The trade-off is thin margins and low switching costs, because customers are attracted by price rather than brand loyalty.

TRAP — Apple is premium; Daraz is value. Mixing these up is an obvious error.

HIGH Q24. Describe Daraz's target market segmentation.

Basis	Segment
Demographic	18–40 years, middle and lower-middle income
Geographic	Urban core, expanding into semi-urban and rural
Behavioural	Price-sensitive, deal-seeking, mobile-first
Psychographic	Convenience-oriented, digitally confident, value-conscious

Segmentation is primarily behavioural and geographic, with the mix adapted accordingly — COD and free delivery for lower-trust rural segments, Daraz Mall and digital payments for urban brand-conscious buyers.

HIGH Q25. What is the marketing objective of the 11.11 campaign?

A demand-concentration strategy: acquire new customers, reactivate dormant users, clear seller inventory, and generate a large share of annual GMV in a short window, while reinforcing the low-price association.

Trade-offs: severe logistics strain, post-campaign demand slump, and training customers to buy only during discount periods.

HIGH Q26. Marketing advantages and operational costs of COD?

Advantage	Cost
Removes the payment-trust barrier	High return and refusal rates
Serves customers without cards or wallets	Cash handling and reconciliation cost
Expands the addressable market into rural areas	Delayed cash flow
Reduces perceived purchase risk	Higher failed-delivery expense

Reducing COD dependence is a strategic priority, but must be phased to avoid excluding rural customers.

HIGH Q27. Why was Daraz Mall created?

It is a trust-assurance mechanism addressing the counterfeit weakness of the open marketplace. It hosts only authorized brands and official sellers with stronger return guarantees. In marketing terms it is a segmented sub-brand allowing Daraz to serve quality-sensitive customers without abandoning the low-price mass market.

RUBRIC — This links Management (control weakness) to Marketing (segmentation) — a direct Integration of Concepts mark.

MED Q28. How does gamification support customer retention?

In-app games, daily coin collection, and voucher hunts increase app engagement frequency and session time, building habit-based usage rather than purchase-only visits. This raises retention and lowers acquisition cost. The risk is engagement that never converts.

MED Q29. What is Daraz's value proposition?

Convenient access to a very wide assortment at competitive prices, with island-wide delivery, flexible payment including COD, and buyer protection — all from a mobile phone.

MED Q30. How does Daraz acquire new customers?

First-purchase vouchers, referral incentives, mega-campaign advertising, influencer and social media marketing, app-install campaigns, free-delivery offers on the first order.

MED Q31. How does Daraz retain customers?

Loyalty coins and vouchers, gamification, personalized recommendations, push notifications, buyer protection and easy returns, Daraz Mall for quality assurance.

MED Q32. Why is Daraz described as mobile-first?

Sri Lankan internet usage is dominated by smartphones rather than desktops. The app enables push notifications, gamification, and location-based delivery features a website cannot match, so the app is the primary marketing and sales channel.

MED Q33. What is the role of customer reviews?

Reviews provide social proof, reduce purchase uncertainty in the absence of physical inspection, and feed the ranking algorithm. They also act as a control mechanism, because poor reviews reduce seller visibility.

MED Q34. How does Daraz price its services to sellers?

Category-based commission rates, optional advertising and sponsored-listing fees, fulfilment and delivery service charges, payment-processing fees.

LOW Q35. What is GMV?

Gross Merchandise Value — the total value of goods sold through the platform over a period. It is not Daraz's revenue; Daraz earns only a commission on that value.

TRAP — Confusing GMV with revenue is a classic mistake.

LOW Q36. What promotional channels does Daraz use?

In-app notifications, email and SMS, social media, influencer partnerships, digital display advertising, TV, seller-funded on-platform promotions.

Section 3 Competitive Analysis

HIGH Q37. Who are Daraz's main competitors in Sri Lanka?

Kapruka — established local e-commerce, strong in gifting and diaspora orders

ikman.lk — classifieds/C2C, dominant in used goods and vehicles

MyDeal, Wasi, Takas and similar local platforms

Social commerce — Facebook, WhatsApp, Instagram sellers

Supermarket online channels — Keells, Cargills, Glomark

Traditional physical retail — still the largest overall competitor

HIGH Q38. Present a SWOT analysis for Daraz.

Strengths	Weaknesses
Alibaba backing — capital and technology	Counterfeit and product-quality issues
Largest marketplace scale in Sri Lanka	Discount dependency, thin margins
Own logistics arm (DEX)	Delivery delays outside main cities
COD builds trust	Inconsistent seller professionalism
Strong brand recall	High COD return rates

Opportunities	Threats
Rural e-commerce growth	Social commerce with zero commission
Digital payment adoption	Import restrictions and forex controls
Fintech, BNPL, insurance services	Rising fuel and delivery costs
Grocery and quick commerce	Trust erosion from bad sellers
Seller-services monetization	Local platforms and supermarket channels

HIGH Q39. Is social commerce a real threat to Daraz?

Yes, meaningfully. Facebook and WhatsApp sellers offer personal interaction, negotiable pricing, and zero platform commission, which appeals strongly to price-sensitive buyers. Their weaknesses are no buyer protection, no formal returns, and no delivery guarantee. Daraz should therefore compete on trust — buyer protection, verified sellers, reliable returns — because it cannot beat a zero-commission seller on price.

HIGH Q40. Compare Amazon and Daraz.

Factor	Amazon	Daraz
Model	Hybrid: own inventory + marketplace	Pure marketplace
Payment	Card and digital dominant	COD dominant
Logistics	Highly automated fulfilment centres	Manual/semi-automated hub-and-spoke
Positioning	Convenience and speed (Prime)	Price and accessibility
Revenue diversity	AWS, ads, subscriptions	Commission, ads, logistics
Market context	Developed markets	Emerging markets

MED Q41. What is Daraz's competitive advantage?

Scale of assortment, an owned last-mile logistics network, Alibaba's technology and capital, and brand recall as the default online shopping destination. *[Possible]* None is fully defensible long-term except the logistics network, which is expensive to replicate.

MED Q42. Which generic strategy does Daraz follow?

Cost leadership with broad market scope — low prices at large scale for a mass audience, rather than differentiation or focus.

Section 4 Critical Thinking & Justification (15%)

HIGH Q43. Is discount-led marketing sustainable for Daraz?

No, not long-term. Continuous discounting compresses margins, trains customers to buy only during sales, and creates low switching costs because competitors can match prices. It builds transaction volume but not loyalty. A sustainable path is a gradual shift to loyalty-led differentiation — reliable delivery, authentic products, superior service. The trade-off is a short-term GMV decline during the transition.

HIGH Q44. What is the single biggest threat to Daraz?

[Likely] Erosion of customer trust from counterfeit products and delivery failures, because trust is the foundation of an intermediary business. Price can be matched and regulation adapted to, but once trust is lost customers migrate permanently. Economic threats such as import restrictions are severe but external and temporary; trust damage is self-inflicted and long-lasting.

HIGH Q45. State your recommendations with justification and risk.

#	Recommendation	Why	Risk	Mitigation
1	Strengthen seller vetting and counterfeit detection	Trust is the main barrier to repeat purchase	Fewer sellers, narrower assortment, higher compliance cost	Tiered enforcement starting with high-risk categories
2	Shift customers from COD to digital payment	COD raises returns, cash-handling cost, failed deliveries	Rural customers without digital access may drop off	Incentivize with vouchers; retain COD for low-value orders
3	Build regional micro-warehouses	Reduces last-mile time outside Colombo	High fixed cost in low-volume districts	Pilot in two high-demand regional cities first
4	Move from discount-led to loyalty-led marketing	Discount dependency destroys margin and loyalty	Short-term GMV and traffic decline	Phase over 12 months; measure retention, not just GMV

TRAP — A recommendation with no risk attached loses Critical Thinking & Justification marks. Never separate them.

HIGH Q46. What would happen if Daraz exited Sri Lanka?

Small and medium sellers would lose low-cost access to a national customer base, and logistics and support jobs would be affected. Kapruka, ikman, and social commerce would absorb demand, but the market would fragment with weaker buyer protection and higher search costs. *[Possible]* In the medium term this would slow national e-commerce adoption.

MED Q47. How should Daraz respond to economic downturn and import restrictions?

Shift category focus toward locally produced and essential goods, support local sellers and manufacturers, offer smaller basket sizes and instalment/BNPL options, and reduce fixed logistics cost through route consolidation. Risk: lower average order value pressuring unit economics.

MED Q48. How can Daraz improve delivery reliability?

Regional micro-warehouses, route optimization, delivery-partner performance incentives, accurate delivery-window communication, pre-delivery confirmation calls to cut failed COD deliveries. Trade-off: higher operating cost per order.

MED Q49. Should Daraz move into quick commerce?

[Possible] Attractive for order frequency and habit formation, but it demands dark stores, dense rider networks, and cold-chain capability — a fundamentally different operating model with poor unit economics outside dense urban areas. A limited Colombo pilot is defensible; a national rollout is not.

MED Q50. What is the biggest weakness in your own analysis?

"Our analysis relies on publicly available information and does not include internal financial data such as margin, customer acquisition cost, or retention rates. Our recommendations are therefore directional rather than quantitatively validated."

RUBRIC — Admitting a limitation honestly scores higher than pretending completeness.

MED Q51. If Daraz could fix only one thing, what should it be?

Product authenticity and quality control. It underlies the largest weakness (counterfeits), the largest threat (trust erosion), and the main reason customers migrate to physical retail. Fixing it strengthens both management control and marketing positioning simultaneously.

Section 5 Integration of Concepts (15%)

HIGH Q52. How do management and marketing decisions connect at Daraz?

The weak controlling function (counterfeits) directly damages the marketing asset of trust. Daraz Mall is the response — a management control mechanism deployed as a marketing sub-brand. Similarly, the marketing decision to offer COD creates an operational control burden of returns and cash handling. Management and marketing decisions cannot be evaluated separately in a platform business.

RUBRIC — The single highest-value integration answer in this pack. Memorize it.

MED Q53. How does the marketing mix create operational requirements?

Promotion (11.11) creates a warehouse and fleet capacity requirement; Place (island-wide delivery) creates a logistics network requirement; Price (low margin) creates a cost-efficiency requirement; Product (wide assortment) creates a seller-governance requirement. Each P generates a management obligation.

MED Q54. Which learning outcomes does this case cover?

Organizational functions (LO1) through the departmental and logistics structure, and management concepts (LO2) through POLC, management levels, and control mechanisms, with marketing analysis supporting both.

Section 6 Slide & Process Questions

MED Q55. What are your data sources?

The Daraz Sri Lanka website and app, publicly available Alibaba Group announcements, and Sri Lankan business news reports, combined with the frameworks from IT3120 lecture material. Where figures were not publicly verifiable, they are presented as qualitative observations rather than precise data.

TRAP — If asked for a number you have not verified, say so. "We could not verify that figure publicly" beats a wrong number.

LOW Q56. Why did you choose this structure for the presentation?

It follows the assessment criteria order — management analysis, marketing analysis, competitive position, then integrated recommendations — so each section maps to a rubric component.

LOW**Q57. Which part of the analysis was most difficult?**

"Separating verified public information from assumption. We resolved it by labelling unverified points as observations rather than facts."

Section 7 Team Participation

HIGH**Q58. What was your contribution to this presentation?**

Template — fill in your own section and memorize it:

"I was responsible for the [Competitive Analysis and Recommendations] section. I researched Daraz's main competitors — Kapruka, ikman, MyDeal, and social-commerce sellers — built the SWOT, and developed the justification and risk assessment for each recommendation. I also proofread the final deck and took part in two full rehearsals."

TRAP — The most likely question for a non-presenting member. If you cannot name your section instantly, you lose Team Participation marks.

MED**Q59. How did your group divide the work?**

Each rubric criterion had an owner; content was drafted individually, then reviewed together in two full-group sessions before rehearsal.

MED**Q60. Why are only two members presenting?**

Per the module workshop instructions, only one or two members present per workshop, and members who present cannot present again in upcoming workshops, so every member takes a turn across the five presentations. The rotation order was agreed in advance.

Section 8 Power (New)

LEC P.21–22

CORE**Q61. Define power in an organization.**

Power is the capacity of a person or group to influence decisions, behavior, outcomes, work, and resource distribution.

TRAP — Power is not the same as authority. Authority is formal power from a position; power can come from knowledge, information, or respect.

HIGH Q62. Name and explain the seven types of power, with Daraz examples.

Type	Source	Daraz example
Legitimate	Formal position or role	Country manager approves budgets and signs contracts
Reward	Ability to give valued benefits	Top-ranking visibility, badges, campaign slots for good sellers
Corrective	Ability to punish or discipline	Suspending or delisting poor-performing sellers
Expert	Knowledge, skill, competence	Alibaba's e-commerce and technology expertise
Referent	Respect, charisma, relationship	Influencers used in campaigns
Information	Access to and control of key data	Daraz owns all customer and sales data; sellers do not
Connection	Network of influential people	Alibaba group network, bank and payment partnerships

Clue words: position → Legitimate · bonus → Reward · penalty → Corrective · knowledge → Expert · admired → Referent · data → Information · contacts → Connection

HIGH Q63. Why can Daraz not use legitimate power over its sellers? What does it use instead?

Sellers are independent businesses, not employees, so Daraz has no formal authority over them. Instead it relies on reward power (visibility, badges, campaign slots), corrective power (penalties, suspension, delisting), and information power (Daraz owns all customer and sales data). This combination is the platform's governance mechanism.

Why information power is strongest: A seller does not know who their customers are — Daraz does. Customers belong to the platform, not the seller, so sellers cannot easily leave.

MED Q64. Differentiate expert power and information power.

Expert power comes from knowledge and skill — knowing how to do something. Information power comes from access to data — knowing what is happening.

Daraz: An engineer advising on system architecture uses expert power. An analyst who alone holds the sales-decline data uses information power.

TRAP — These two are the most commonly confused power types.

MED Q65. Which power type is most important in a platform business, and why?

Information power, because the platform owns the customer relationship and transaction data. Sellers depend on Daraz for demand and cannot replicate that data, which creates dependency and low seller bargaining power. The trade-off is regulatory and ethical scrutiny over data concentration.

Section 9 Motivation (New)

LEC P.23–27

CORE Q66. What are the three dimensions of motivation?

Direction — what behavior is chosen · **Effort** — how hard the person works · **Persistence** — how long they sustain it

HIGH Q67. Explain Maslow's hierarchy using a Daraz delivery rider.

Need level	Rider example
Physiological	Daily wage, rest breaks
Safety	Insurance, helmet, stable income
Social	Belonging to the hub team
Esteem	Top-rider recognition, ratings
Self-actualization	Promotion to hub supervisor, skills growth

Order: Physiological → Safety → Social → Esteem → Self-actualization

TRAP — Do not reverse the order. Lower needs are addressed first.

HIGH Q68. Differentiate Herzberg's hygiene factors and motivators, applied to Daraz sellers.

Effect		Daraz seller examples
Hygiene factors	Their absence causes dissatisfaction; their presence does not motivate	Commission rate, payment timing, platform uptime, seller-support response
Motivators	Create satisfaction and stronger performance	Top-seller badge, recognition, campaign access, business growth

Exam sentence: "Improving the commission rate removes dissatisfaction but does not increase seller effort. Recognition and visibility do."

TRAP — Saying hygiene factors strongly motivate is a direct error against Herzberg's theory.

MED Q69. Differentiate intrinsic and extrinsic motivation with Daraz examples.

Intrinsic motivation comes from enjoyment, learning, or personal satisfaction — a Daraz engineer innovating because the problem is interesting. **Extrinsic** motivation comes from external rewards or avoiding punishment — a seller joining a campaign for sales and visibility, or improving delivery times to avoid penalties.

MED Q70. How does Daraz motivate parties it does not employ?

Through extrinsic mechanisms — ranking visibility, badges, tiered seller status, campaign access, and penalty avoidance — combined with reward and corrective power. Because sellers are not employees, Daraz cannot rely on salary, promotion, or supervision. The trade-off is that extrinsic motivation produces compliance rather than genuine commitment.

RUBRIC — This answer combines Motivation + Power + Controlling — strong Integration of Concepts material.

HIGH Q71. Compare the main organizational structures.

Structure	Main feature	Advantage	Limitation
Functional	Grouped by specialization	Expertise, efficiency	Weak cross-department communication
Divisional	Grouped by product, service, or region	Focus, independence	Duplication of resources
Matrix	Dual or multiple reporting lines	Flexibility	Authority confusion
Flat	Few levels, wide span of control	Faster decisions	Less direct supervision
Tall	Many hierarchical levels	Clear authority, strong supervision	Slow communication
Centralized	Decisions made at the top	Consistency, control	Slow local response
Decentralized	Decisions distributed	Local responsiveness	Inconsistency across units

TRAP — A flat organization still has managers; it simply has fewer levels.

HIGH Q72. What is Daraz's organizational structure, and what is the trade-off?

[Likely] A hybrid — functionally organized within each country (marketing, operations, commercial) and divisionally (geographically) structured across five markets, with centralized technology and decentralized country operations.

Trade-off: standardization (efficiency) vs. localization (market fit). Centralizing technology gains scale; decentralizing operations gains local responsiveness but risks inconsistency.

MED Q73. Why does Daraz decentralize country operations but centralize technology?

Consumer behavior, payment infrastructure, and logistics differ sharply across the five markets, so operational decisions must be local. Technology is a fixed-cost asset with no local variation requirement, so centralizing it captures economies of scale. The risk is a centralized platform that does not fit local needs — for example, features designed around card payments in a COD-dominant market.

Section 11 Management Approaches (New)

LEC P.17–18

MED Q74. Compare the four management approaches.

Approach	Emphasis
Classical	Rules, structure, efficiency
Behavioral	People, motivation, human relations
Quantitative	Data and mathematical models
Modern	Flexibility, systems, contingency, culture, environment

HIGH Q75. Which approach does Daraz follow, and why?

The modern approach, specifically the contingency and systems perspectives. Contingency applies because strategy differs by country — COD-heavy in Sri Lanka, different in Pakistan — so there is no single best method. Systems applies because sellers, logistics, technology, and customers form one interdependent system where a failure in one part degrades the whole.

TRAP — The contingency approach explicitly says there is no one universal best way. Claiming it provides a single best method is wrong.

MED Q76. Where does Daraz use the quantitative approach?

In demand forecasting for campaigns, delivery route optimization, seller-ranking algorithms, dynamic pricing signals, and A/B testing of app features. The limitation is that data-driven models cannot capture trust and reputation effects, which are qualitative but decisive for this business.

Section 12 Organizational Behavior (New) LEC P.16

MED Q77. Explain the three levels of organizational behavior, applied to Daraz.

Level	Studies	Daraz example
Individual	One person's psychology and behavior	A single rider's motivation, a seller's pricing behavior
Group	Teamwork and interaction	Hub team dynamics, category team coordination
Organizational	Structures and systems across the whole organization	Platform-wide culture, cross-country structure

MED Q78. What does the Google case teach that applies to Daraz? LEC P.29–31

Autonomy increases intrinsic motivation; coaching leadership empowers employees; an innovative culture encourages experimentation and learning from failure; open communication strengthens teamwork.

Applied to Daraz: These work for Daraz's own employees, but not for sellers, who are external parties motivated extrinsically. The contrast is itself a useful analytical point — culture-based motivation requires an employment relationship.

TRAP — Do not simply repeat case facts. Always link them to a named concept.

Quick-fire one-liners

#	Question	Answer
79	Parent company?	Alibaba Group (2018)
80	How many countries?	5 — Sri Lanka, Pakistan, Bangladesh, Nepal, Myanmar
81	Logistics arm?	Daraz Express (DEX)
82	Founded?	2012, originally Rocket Internet
83	Biggest sale event?	11.11
84	Positioning?	Value / cost leadership — not premium
85	Dominant payment method?	Cash on delivery
86	Weakest POLC function?	Controlling
87	Biggest weakness?	Counterfeit and quality issues
88	Biggest threat?	Trust erosion
89	Revenue model?	Commission, ads, seller services, logistics fees
90	GMV vs revenue?	GMV = total goods value; revenue = commission only
91	Trust sub-brand?	Daraz Mall
92	Power over sellers?	Reward + corrective + information (not legitimate)
93	Strongest power type?	Information — Daraz owns the customer data
94	Commission rate — hygiene or motivator?	Hygiene factor
95	Structure type?	Hybrid — functional within country, divisional across countries
96	Management approach?	Modern — contingency + systems
97	Structure trade-off?	Standardization vs. localization
98	Sellers: employees?	No — independent businesses
99	Fayol vs Follett?	Process-based vs people-based
100	Effective vs efficient?	Right things vs things right

The five traps that lose marks

- ☐ **Daraz owns inventory** — No. Sellers own the products.
- ☐ **Daraz is premium** — No. Value / cost leadership.
- ☐ **GMV = revenue** — No. Revenue is only the commission.
- ☐ **Commission is a control mechanism** — No. It is a revenue model.
- ☐ **Hygiene factors motivate** — No. They only prevent dissatisfaction.

Bonus trap: Answering without "because...". Every answer needs a reason.

English keywords to memorize

marketplace business model · third-party sellers · indirect control mechanism · control gap · seller governance · seller ecosystem · POLC framework · strategic / tactical / operational planning · cross-functional coordination · hub-and-spoke network · last-mile delivery · effectiveness vs efficiency · legitimate / reward / corrective / expert / referent / information / connection power · hygiene factors vs motivators · intrinsic and extrinsic motivation · Maslow's hierarchy · functional / divisional / matrix / flat / tall / centralized / decentralized structure · contingency approach · systems perspective · organizational behavior levels · cash on delivery (COD) · buyer protection · cost leadership strategy · value proposition · market segmentation · demand concentration · social proof · gross merchandise value (GMV) · switching cost · trust-led differentiation · social commerce · trade-off · justification · risk mitigation · phased rollout · qualitative observation

Final checklist

- ☐ I can name my own section in one sentence
 - ☐ I can explain every slide, not only mine
 - ☐ I know the 7 power types and which ones Daraz uses on sellers
 - ☐ I know hygiene vs motivator and can give a Daraz example
 - ☐ I know Daraz's structure and its trade-off
 - ☐ I know the 5 traps
 - ☐ Every answer ends with a reason or trade-off
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- Attendance confirmed — absent = zero marks
 - 2 peer-review questions prepared for other groups
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IT3120 Workshop 1 — Case Study: Daraz. Frameworks from Lecture 01; company facts require group verification.